Patanjali Foods analysis

This analysis examines **Patanjali Foods Ltd.** (formerly Ruchi Soya Industries) and its parent/promoter entity, **Patanjali Ayurved Ltd.** Conflicts of interest are inherent in corporate structures, but the unique "reverse acquisition" of Ruchi Soya by Patanjali creates specific, high-stakes examples in the Indian market context.

1. Stockholders and Managers

This conflict typically arises when management (or promoters) prioritizes their own benefits (control, empire building, private gains) over the wealth maximization of minority shareholders.

- **Conflict: Breach of Minimum Public Shareholding (MPS) Norms**
    - **The Issue:** After Patanjali Ayurved acquired Ruchi Soya in 2019 via insolvency, the promoters held **98.87%** of the equity, leaving less than 2% for the public. SEBI regulations mandate that listed companies must have at least **25%** public shareholding to ensure fair price discovery and liquidity.
    - **Manifestation:** The management delayed reducing their stake to the required level. Consequently, in **March 2023**, stock exchanges (BSE & NSE) **froze the shares** of 21 promoter entities (including Patanjali Ayurved) for non-compliance. This froze over 292 million shares, creating uncertainty and damaging minority shareholder trust.
    - **Mitigation Strategy:** The company launched a **Follow-on Public Offer (FPO)** in 2022 to dilute the promoter stake. While this raised capital and increased public float to ~19%, it still fell short of the 25% target initially, leading to the regulatory freeze until further partial divestments occurred.
- **Conflict: Related Party Transactions (RPTs)**
    - **The Issue:** Patanjali Foods (listed) pays royalties and acquires businesses (like the "Food & Herbal Park" or "Biscuits" division) from Patanjali Ayurved (unlisted promoter).
    - **Manifestation:** Minority shareholders often worry that the listed company is overpaying for these assets or brands to transfer wealth to the private promoter entity. For instance, the acquisition of the non-food business from Patanjali Ayurved raised concerns about valuation transparency.
    - **Mitigation Strategy:** The company has established an **Audit Committee** comprising independent directors to vet these transactions. They now seek explicit shareholder approval for material RPTs, as seen in the postal ballots for business acquisitions.

2. Bondholders and Stockholders

Stockholders (owners) generally prefer high-risk, high-return strategies because their downside is limited to their investment, whereas bondholders (lenders) prefer safety and conservative strategies.

- **Conflict: Debt-Funded Acquisition & Risk Shifting**

- **The Issue:** The acquisition of Ruchi Soya was heavily funded by debt. The Patanjali consortium borrowed roughly **₹3,250 crore** to fund the acquisition.
- **Manifestation:** High leverage benefits stockholders if the company grows (magnified returns), but it puts extreme pressure on the firm's solvency, risking the bondholders' capital. In the early phase (2019-2021), the company was highly leveraged, making it a risky bet for lenders.
- **Mitigation Strategy:** In a decisive move to resolve this, the company used the **proceeds of the 2022 FPO (approx. ₹4,300 crore)** primarily to **prepay the entire term debt** of the consortium.
- **Result:** This aggressively aligned the interests of bondholders (who got paid back fully) and stockholders (who now own a debt-free company), effectively eliminating the agency cost of debt for that specific liability.

3. Firm and Financial Markets

This relationship relies on trust, accurate information, and fair play. Conflicts arise when the firm manipulates information or operations to artificially inflate stock prices or deceive the market.

- **Conflict: The "Misleading SMS" Scandal (FPO 2022)**
  - **The Issue:** During the Ruchi Soya FPO in March 2022, unsolicited SMS messages were circulated to investors advising them to buy the stock to get a "30% discount" compared to the market price.
  - **Manifestation:** SEBI termed these messages "misleading and fraudulent" because the market price was artificially low-float (illiquid) and not a true benchmark. The firm was accused of indirectly hyping the issue to ensure subscription success, violating market integrity rules.
  - **Mitigation/Response:**
    - **SEBI's Intervention:** The regulator ordered the company to give all investors an **option to withdraw their bids**, a rare and embarrassing penalty.
    - **Company Action:** The company had to publish public advertisements denying involvement in the SMS circulation and warning investors, effectively forced to "unsell" its own FPO temporarily to restore market trust.

4. Firm and Society

This constitutes the conflict between profit maximization and social welfare (public health, truthfulness, environmental safety).

- **Conflict: Misleading Advertisements & Public Health (The Supreme Court Case)**
  - **The Issue:** Patanjali Ayurved (the promoter/brand) aggressively marketed products like **Coronil** as a "cure" for COVID-19 and published ads disparaging modern medicine (Allopathy) as "stupid and bankrupt."

- **Manifestation:** This was a direct conflict between the firm's profit motive (selling herbal cures) and societal safety (public health misinformation). The Indian Medical Association (IMA) sued, arguing that these claims violated the **Drugs and Magic Remedies Act**.
- **Mitigation/Response:**
  - **Judicial Rebuke:** The Supreme Court of India issued a contempt notice and temporarily banned advertisements for specific diseases (diabetes, blood pressure, etc.).
  - **Apology:** The founders (Baba Ramdev and Acharya Balkrishna) had to issue **unconditional public apologies** in newspapers. The company has since been forced to overhaul its advertising compliance, shifting from "cure-based" claims to "supplement/management" claims to align with societal and legal standards.

Assessment of Prevalence

Currently, the most prevalent and damaging conflict is **Firm vs. Society (Domain 4)**.

- **Reasoning:** While financial conflicts (SEBI norms, debt) are largely technical and have been mitigated through the FPO and debt repayment, the "Firm vs. Society" conflict strikes at the core of the brand's identity ("Trust"). The Supreme Court battle regarding misleading ads has caused reputational damage that transcends the stock market, affecting consumer trust across the entire product portfolio.

Recommendations for Improvement

1. **Independent Scientific Validation:** To resolve the *Firm vs. Society* conflict, Patanjali should establish an independent, external scientific board to validate product claims *before* marketing materials are released, moving beyond internal R&D assertions.
2. **Clearer Separation of Entities:** To mitigate *Stockholder vs. Manager* conflicts, the company needs a clearer "Chinese Wall" between Patanjali Ayurved (Private) and Patanjali Foods (Listed). All RPTs should be benchmarked by a "Big 4" audit firm to ensure arms-length pricing is obvious to minority shareholders.
3. **Proactive Compliance Culture:** The MPS freeze and FPO SMS scandal suggest a *reactive* approach to regulation (fixing things only after getting caught). The company should appoint a Chief Compliance Officer with veto power over marketing and capital market communications to prevent regulatory friction before it occurs.

Prompt used:

You are tasked with conducting an in-depth analysis of the company Patanjali Ltd.to identify realworld examples of conflict of interest acros s four key domains: 1.**Stockholders and Managers**: Investigate instances where the interests of stockholders may diverge from those of the management team.Provide specific examples that illustrate how these conflicts manifested within the company, and discuss any measu res taken by Patanjali Ltd.to mitigate these conflicts.2.**Bondholders and Stockholders**: Examine situations where the interests of bondh olders conflict with those of stockholders.Identify concrete cases that highlight these conflicts within Patanjali Ltd., and outline the strategi es employed by the company to address and resolve these issues.3.**Firm and Financial Markets**: Analyze the relationship between Pata njali Ltd.and the financial markets, identifying any conflicts that arise from the company's operations or actions.Provide specific examples a nd evaluate the company's responses to these challenges.4.**Firm and Society**: Explore the conflicts of interest between Patanjali Ltd.an d societal expectations or responsibilities.Present real examples of how these conflicts have emerged and discuss the approaches the comp

any has taken to align its interests with those of society.Additionally, assess which of these conflicts of interest is more prevalent within Pat anjali Ltd.and provide recommendations for how the company could further improve its practices to manage and overcome these challeng es effectively.